AIGP Module 7 Practice Test

Other Laws and Standards Related to AI

30 Advanced Multiple Choice Questions

Question 1

An AI governance professional working for a multinational corporation needs to develop a compliance strategy that satisfies regulatory requirements in the EU, U.S., and China simultaneously. According to Module 7's guidance on global AI regulation alignment, what approach should they adopt?

A. Implement separate compliance frameworks tailored to each jurisdiction's specific requirements
B. Develop a unified compliance framework based on the strictest requirements across all jurisdictions
C. Focus compliance efforts on the jurisdiction where the company is headquartered
D. Wait for international harmonization of AI regulations before implementing any framework

Correct Answer: B

Explanation:

- **Why B is correct:** Module 7 explicitly states: "To comply with regulations in multiple jurisdictions, develop a compliance strategy based on strictest requirements and harmonize into a unified framework." This approach ensures compliance across all jurisdictions while avoiding the complexity of maintaining separate frameworks.
- **Why A is incorrect:** While tailored frameworks might seem appropriate, Module 7 warns against this fragmented approach. Maintaining separate compliance frameworks for each jurisdiction is operationally complex, resource-intensive, and increases the risk of gaps or conflicts between different regional requirements.
- **Why C is incorrect:** This approach ignores the extraterritorial reach of regulations like the EU AI Act and GDPR, which apply based on where AI systems are deployed or whose data is processed, not where the company is headquartered. Module 7 emphasizes understanding requirements across all operating jurisdictions.
- **Why D is incorrect:** Module 7 notes "no one-size-fits-all approach to AI regulations" and advises organizations to "remain alert to regulatory requirements and be prepared to adjust accordingly." Waiting for harmonization would leave the organization non-compliant with current laws and is impractical given the pace of AI development.

Narahari

Question 2

ISO 22989:2022 serves a specific foundational role in AI standardization. According to Module 7, what is the PRIMARY purpose of this standard?

A. Provide guidance for implementing AI management systems within organizations
B. Establish terminology and describe concepts in AI to improve standardization
C. Create a framework for conducting human rights impact assessments for AI
D. Define conformity assessment procedures for high-risk AI systems

Correct Answer: B

Explanation:

- **Why B is correct:** Module 7 states: "ISO 22989:2022 – establishes terminology and describes concepts in AI; defines over 100 key concepts in AI; addresses need for standardization." This standard provides the common vocabulary necessary for consistent communication about AI across organizations and jurisdictions.
- **Why A is incorrect:** This describes ISO 42001:2023, not ISO 22989. Module 7 specifies that ISO 42001 provides "guidance for AI management systems, integrated approach to AI governance."
- **Why C is incorrect:** This describes the Council of Europe's HUDERIA framework, which Module 7 presents as "Human Rights, Democracy, and the Rule of Law Impact Assessment for AI Systems," focusing on human dignity, democracy, and equality—not ISO 22989.
- **Why D is incorrect:** Conformity assessment procedures for high-risk AI are defined in the EU AI Act (particularly Articles in Chapter III, Section 4), not in ISO 22989. ISO 22989 focuses on terminology and concepts, not assessment procedures.

Question 3

A U.S.-based company is developing an AI-powered employment screening tool that will be used by their New York City office. According to Module 7, which specific legal requirement must they comply with?

A. Conduct voluntary AI ethics reviews as recommended by federal guidance
B. Perform mandatory bias audits as required by NYC Local Law 144
C. Register the system in the EU database for high-risk AI systems
D. Obtain explicit consent from all job applicants under GDPR Article 22

Correct Answer: B

Explanation:

- **Why B is correct:** Module 7 explicitly identifies "New York City's Local Law 144 requires bias audits of AI-enabled employment tools" and later references "New York City's Local Law 144 (bias audits for employment)" as a practical example. This is a mandatory requirement for AI employment tools used in NYC.

Narahari

- **Why A is incorrect:** While federal guidance exists (Executive Orders, OMB guidance mentioned in Module 7), these provide recommendations and frameworks rather than mandatory bias audit requirements for employment screening tools. The question asks about specific legal requirements, not voluntary guidance.
- **Why C is incorrect:** EU database registration applies to high-risk AI systems placed on the EU market. Module 7 states this is part of the EU AI Act's requirements, but a U.S. company operating only in New York City wouldn't be subject to EU registration unless they were also deploying in the EU.
- **Why D is incorrect:** GDPR applies to processing of personal data of EU residents. For a U.S. company operating in NYC with no indication of EU operations or EU applicants' data, GDPR Article 22's automated decision-making provisions would not apply.

Question 4

Under GDPR's provisions for automated decision-making as discussed in Module 7, what specific right must be granted to individuals subject to AI-based decisions with significant effects?

A. The right to receive monetary compensation for any adverse decision
B. The right to human intervention and to contest the decision
C. The right to access the AI system's source code and training algorithms
D. The right to demand deletion of all AI-generated predictions about them

Correct Answer: B

Explanation:

- **Why B is correct:** Module 7 states: "Automated decision-making: right to human intervention; very strict consent/notice requirements; redress/appeal rights." It also notes in data subject rights: "right to intervention, understanding of AI outputs." GDPR Article 22 explicitly provides the right to not be subject to solely automated decisions and to have human intervention.
- **Why A is incorrect:** While GDPR provides for remedies and compensation for actual damages resulting from data protection violations, there is no automatic right to monetary compensation simply for being subject to an AI-based decision. Module 7 does not mention such a right in its discussion of GDPR and automated decision-making.
- **Why C is incorrect:** GDPR provides rights to meaningful information about the logic involved in automated decision-making (transparency), but not to access source code or training algorithms. Module 7 mentions "understanding of AI outputs" as a data subject right, which is different from accessing proprietary technical details.
- **Why D is incorrect:** This conflates the right to erasure (GDPR Article 17) with automated decision-making rights. While data subjects have erasure rights under certain conditions, Module 7's discussion of automated decision-making specifically focuses on intervention, contest, and redress rights—not deletion of predictions.

Narahari

Question 5

A healthcare AI system will process sensitive health data to make treatment recommendations. According to Module 7's discussion of GDPR's special categories of data, under what conditions can this processing legally occur?

A. Processing is always permitted if the data is anonymized according to any reasonable standard
B. Processing requires either explicit consent, public interest grounds, or other strict conditions specified in GDPR
C. Processing is allowed as long as a Data Protection Impact Assessment is completed
D. Processing is prohibited under all circumstances for AI systems using health data

Correct Answer: B

Explanation:

- **Why B is correct:** Module 7 states: "GDPR and LGPD define [sensitive/special categories including] health... Processing allowed only under strict conditions: explicit consent, public interest, legal requirements, research, etc." This reflects GDPR Article 9, which prohibits processing of special categories but provides specific exceptions.
- **Why A is incorrect:** Module 7 emphasizes "AI benefit from anonymized data which falls outside scope" but also notes "high threshold under GDPR" for achieving true anonymization. Simply applying "any reasonable standard" is insufficient—GDPR requires that anonymization be irreversible and meet a very high bar. Pseudonymized data remains personal data under GDPR.
- **Why C is incorrect:** While DPIAs are required for high-risk processing (GDPR Article 35), completing a DPIA is a procedural safeguard, not a legal basis for processing special categories of data. Module 7 lists DPIAs as an obligation but separately identifies the legal bases (explicit consent, public interest, etc.) required for processing sensitive data.
- **Why D is incorrect:** Module 7 explicitly states that processing is "allowed only under strict conditions" and lists several lawful bases. Prohibited under all circumstances would contradict both the module content and GDPR Article 9's exceptions, which permit processing for healthcare, research, and other specified purposes.

Question 6

An organization wants to test their AI recruitment system for bias but faces a challenge: their data minimization practices mean they don't collect demographic data. According to Module 7, what are valid approaches to obtaining demographic data for bias testing?

A. Organizations must never collect demographic data as it violates GDPR's data minimization principle
B. Organizations can collect directly, generate proxies, purchase data, or ask users to voluntarily provide demographic information
C. Organizations can only use demographic data if they obtain explicit consent from every individual in their dataset

Narahari

D. Organizations must wait for regulators to provide official demographic datasets for bias testing

Correct Answer: B

Explanation:

- **Why B is correct:** Module 7 explicitly addresses this challenge: "Organizations face conflict between data minimization and need for sensitive data for bias testing (can: collect directly, generate proxies, buy data, ask users for data)." This recognizes multiple legitimate approaches to obtaining necessary demographic data for fairness testing.
- **Why A is incorrect:** While GDPR does require data minimization, Module 7 acknowledges the legitimate need for demographic data in bias testing and provides solutions. The module discusses the "conflict between data minimization and need for sensitive data for bias testing," implying collection can be justified when necessary for fairness testing—a form of compliance obligation.
- **Why C is incorrect:** While explicit consent is ONE of the legal bases for processing special category data under GDPR Article 9, Module 7 lists other bases: "explicit consent, public interest, legal requirements, research, etc." Organizations may rely on other legal bases such as compliance with legal obligations (bias testing under NYC Local Law 144, for example).
- **Why D is incorrect:** This approach is not mentioned in Module 7 and would be impractical. Module 7 provides immediate, actionable solutions (collect, generate proxies, purchase, ask) rather than suggesting organizations wait for regulatory action that may never come.

Question 7

Canada's approach to AI regulation includes the proposed Artificial Intelligence and Data Act (AIDA). According to Module 7, what broader legislation is AIDA part of?

A. The Canadian AI Ethics Framework Act
B. The Digital Charter Implementation Act of 2022 (Bill C-27)
C. The Personal Information Protection and Electronic Documents Act (PIPEDA)
D. The Canadian Cybersecurity and Privacy Protection Act

Correct Answer: B

Explanation:

- **Why B is correct:** Module 7 states: "The Digital Charter Implementation Act of 2022 (Bill C-27) Adds proposed Artificial Intelligence and Data Act (AIDA)." This clearly identifies AIDA as part of the broader Bill C-27 legislation.
- **Why A is incorrect:** This is not a real legislative act mentioned in Module 7. While Canada has developed voluntary frameworks and guidelines (Module 7 mentions "Voluntary Code of Conduct on Responsible Development and Management of Advanced Generative AI Systems"), AIDA is specifically part of Bill C-27.

Narahari

- **Why C is incorrect:** PIPEDA is Canada's existing federal privacy law. Module 7 mentions that Bill C-27 "Repeals/replaces PIPEDA provisions" but AIDA is added by Bill C-27, not by PIPEDA. PIPEDA is being updated by the same legislation that introduces AIDA, but they are distinct components.
- **Why D is incorrect:** This is not mentioned in Module 7 as real Canadian legislation. Module 7 specifically identifies the Digital Charter Implementation Act (Bill C-27) as the vehicle for introducing AIDA into Canadian law.

Question 8

The Council of Europe's HUDERIA framework focuses on impact assessments for AI systems. According to Module 7, what does the acronym HUDERIA stand for?

A. Human Understanding, Democracy, Ethics, Rights, Intelligence Assessment
B. Human Rights, Democracy, and the Rule of Law Impact Assessment
C. Human Dignity, Universal Democracy, Equality, Rights, Intelligence Accountability
D. Human-Centered Design, Equity, Rights, Intelligence Assessment

Correct Answer: B

Explanation:

- **Why B is correct:** Module 7 explicitly defines: "Council of Europe HUDERIA: Human Rights, Democracy, and the Rule of Law Impact Assessment for AI Systems." This framework emphasizes European values in AI impact assessments.
- **Why A is incorrect:** While "Understanding" and "Ethics" are plausible terms in an AI context, this is not the correct acronym. Module 7 specifically identifies "Rule of Law" as a component of HUDERIA, not "Understanding" or "Ethics" or "Intelligence Assessment."
- **Why C is incorrect:** While "Human Dignity" and "Equality" are indeed values referenced in Module 7's description of HUDERIA's focus ("human dignity, democracy, equality, etc."), these are principles the framework considers rather than parts of the acronym itself. "Universal Democracy" and "Intelligence Accountability" are not mentioned.
- **Why D is incorrect:** "Human-Centered Design" and "Equity" are important AI governance concepts, but Module 7 clearly states HUDERIA stands for "Human Rights, Democracy, and the Rule of Law Impact Assessment." The other terms in this option are not part of the acronym.

Question 9

In the U.S., federal regulation of AI currently operates primarily through existing laws and regulatory agencies. According to Module 7, which agency is specifically mentioned as providing regulation for aspects of AI through existing authority?

A. The National Institute of Standards and Technology (NIST)
B. The Federal Trade Commission (FTC)

Narahari

C. The European AI Office
D. The Department of Commerce AI Task Force

Correct Answer: B

Explanation:

- **Why B is correct:** Module 7 states: "Existing laws and regulatory agencies (FTC, Consumer Financial Protection Bureau) provide regulation for aspects of AI." The FTC is also mentioned later: "FTC (prohibiting unfair/deceptive acts), applies to privacy/security of algorithms/AI" and "FTC enforcement of deceptive AI marketing claims."
- **Why A is incorrect:** While NIST is crucial for developing AI standards and frameworks (the NIST AI RMF is extensively covered in earlier modules), Module 7 does not identify NIST as a regulatory agency enforcing existing laws. NIST provides guidance and standards, but enforcement authority lies with agencies like the FTC.
- **Why C is incorrect:** The European AI Office is part of EU AI Act enforcement mentioned in Module 6, not U.S. federal regulation. Module 7's discussion of U.S. federal approaches focuses on American agencies and executive branch guidance.
- **Why D is incorrect:** This agency is not mentioned in Module 7. While various federal departments are involved in AI policy (DHS is mentioned for critical infrastructure), the specific regulatory agencies identified are the FTC and Consumer Financial Protection Bureau.

Question 10

According to Module 7's discussion of intellectual property law and AI, what was the key holding in the case Thaler v. Vidal regarding AI-generated inventions?

A. AI systems can be listed as co-inventors alongside human inventors
B. AI-generated inventions automatically belong to the AI system's owner
C. AI cannot be recognized as inventors for patent purposes
D. AI-generated inventions are not eligible for patent protection under any circumstances

Correct Answer: C

Explanation:

- **Why C is correct:** Module 7 states: "Thaler v. Vidal (U.S. courts: AI cannot be inventors for patents)" and "IP law: copyright… patents (humans only, Thaler v. Vidal)." This clearly establishes that U.S. courts have ruled AI cannot be named as inventors.
- **Why A is incorrect:** The Thaler v. Vidal ruling specifically rejected AI as inventors. The case involved an attempt to list an AI system (DABUS) as the sole inventor. Courts ruled that inventorship requires human contribution, rejecting even sole AI inventorship, let alone co-inventorship status for AI.
- **Why B is incorrect:** The case addressed inventorship status (who can be named as inventor), not ownership of AI-generated inventions. While ownership of inventions

Narahari

created with AI assistance may flow to the human operator or owner under different principles, Thaler v. Vidal specifically addressed whether AI could be legally recognized as an inventor.

- **Why D is incorrect:** The ruling does not prohibit patent protection for inventions created with AI assistance—it holds that AI cannot be named as the inventor. If a human can be identified as the inventor (even if AI was used as a tool), patent protection may still be available. The case is about inventorship requirements, not patentability of the invention itself.

Question 11

Module 7 discusses how organizations should approach framework development for AI governance. What factors should organizations consider when determining their AI governance approach?

A. Only the regulations applicable in their headquarters jurisdiction
B. Principles, risk tolerance, jurisdiction, industry/sector, AI relationship to business strategy, AI purpose, and size/implementation ability
C. Exclusively the technical capabilities of their AI development team
D. Only the recommendations from ISO standards and ignore legal requirements

Correct Answer: B

Explanation:

- **Why B is correct:** Module 7 explicitly states: "Organizations must determine: principles, risk tolerance, jurisdiction, industry/sector, AI relationship to business strategy, AI purpose, size/implementation ability." It also notes: "Consider AI processes: development, procurement, use." This comprehensive approach ensures governance frameworks are appropriately tailored.
- **Why A is incorrect:** This contradicts Module 7's emphasis on global compliance. The module discusses multiple jurisdictions (EU, U.S., China, Canada, Singapore, etc.) and notes the extraterritorial reach of laws like GDPR and the EU AI Act. Organizations must consider all jurisdictions where they operate or whose data they process.
- **Why C is incorrect:** While technical capability is relevant (included in "size/implementation ability"), Module 7 emphasizes a much broader set of considerations including legal, business, ethical, and strategic factors. A governance framework based exclusively on technical capabilities would ignore critical legal and ethical obligations.
- **Why D is incorrect:** Module 7 presents ISO standards as important guidance, but legal requirements are mandatory, not optional. The module extensively discusses legal compliance as "an important part of any risk management and governance program" and details various legal obligations that must be met regardless of standards.

Question 12

Narahari

In the context of GDPR's application to AI systems, Module 7 distinguishes between pseudonymization and anonymization. What is the GDPR's treatment of pseudonymized data?

A. Pseudonymized data is treated as fully anonymized and falls completely outside GDPR's scope
B. Pseudonymized data is still considered personal data and remains subject to GDPR
C. Pseudonymized data can be processed without any legal basis or safeguards
D. Pseudonymized data must be deleted immediately under the right to erasure

Correct Answer: B

Explanation:

- **Why B is correct:** Module 7 states: "Pseudonymization and anonymization: high threshold under GDPR; AI benefit from anonymized data which falls outside scope, but pseudonymized is still 'personal'." This clearly distinguishes that only truly anonymized data falls outside GDPR, while pseudonymized data remains personal data subject to regulation.
- **Why A is incorrect:** This directly contradicts Module 7's statement that "pseudonymized is still 'personal'" data. The module distinguishes anonymized data (which falls outside GDPR scope if truly anonymized) from pseudonymized data (which remains personal data). The difference is critical for GDPR compliance.
- **Why C is incorrect:** Since pseudonymized data remains personal data under GDPR, all normal requirements apply: lawful basis, purpose limitation, data subject rights, security measures, etc. Module 7's discussion of "data processing principles (lawfulness, fairness, transparency, minimization, etc.)" applies to pseudonymized data.
- **Why D is incorrect:** While data subjects have a right to erasure under GDPR Article 17, this right applies to personal data generally and is subject to various exceptions. Module 7 does not suggest pseudonymized data must be deleted immediately; rather, it must be managed as personal data with appropriate safeguards and legal bases.

Question 13

China's approach to AI regulation includes both national and municipal levels. According to Module 7, what characterizes the municipal law approach in China regarding AI?

A. Municipal governments cannot regulate AI; only national law applies
B. Municipal law focuses exclusively on promoting AI innovation without oversight
C. Municipal law provides oversight for compliance, audits, and possible bans based on safety, discrimination, or national security
D. Municipal law only applies to foreign companies operating in China

Correct Answer: C

Explanation:

- **Why C is correct:** Module 7 states: "China: National law (Cyberspace Administration guidelines 2023, rights-based approach); Municipal law (oversight for compliance, audits, possible bans on safety/discrimination/national security)." This shows

Narahari

municipalities have regulatory authority to enforce compliance and address specific concerns.

- **Why A is incorrect:** Module 7 explicitly distinguishes between national and municipal law in China, indicating that both levels have regulatory roles. The mention of municipal law's oversight, audits, and ban authority demonstrates that municipalities do have regulatory power over AI.
- **Why B is incorrect:** While China certainly promotes AI innovation nationally, Module 7's description of municipal law emphasizes regulatory oversight ("compliance, audits, possible bans") rather than innovation promotion. The focus is on enforcement and safety concerns, not exclusively on enabling innovation.
- **Why D is incorrect:** Module 7 does not suggest municipal law in China applies only to foreign companies. The description of "oversight for compliance, audits, possible bans" would logically apply to all AI systems operating within the municipality's jurisdiction, domestic or foreign.

Question 14

Module 7 discusses Singapore's approach to AI governance. What tools or frameworks has Singapore developed for AI governance?

A. The Singapore AI Regulatory Authority and mandatory AI licensing system
B. Model AI Governance Framework (for traditional and generative AI) and AI Verify toolkit
C. The Singapore AI Ethics Code and National AI Institute
D. Only voluntary guidelines with no practical implementation tools

Correct Answer: B

Explanation:

- **Why B is correct:** Module 7 states: "Singapore: Model AI Governance Framework (traditional AI & generative AI), AI Verify toolkit." Singapore has developed both guidance (the Framework) and a practical tool (AI Verify) for implementing AI governance.
- **Why A is incorrect:** Module 7 does not mention a "Singapore AI Regulatory Authority" or mandatory licensing system. Singapore's approach, as presented in the module, is based on frameworks and voluntary tools rather than mandatory licensing. The AI Verify toolkit helps organizations implement governance but is not described as a licensing system.
- **Why C is incorrect:** While "AI Ethics Code" and "National AI Institute" sound plausible, Module 7 specifically identifies the "Model AI Governance Framework" and "AI Verify toolkit" as Singapore's contributions. The module does not mention an "AI Ethics Code" or "National AI Institute" as formal Singapore initiatives.
- **Why D is incorrect:** This understates Singapore's approach. Module 7 mentions not just voluntary guidelines but also the "AI Verify toolkit"—a practical implementation tool. This shows Singapore has gone beyond mere guidelines to provide actionable resources for organizations.

Narahari

Question 15

According to Module 7, what is a key challenge organizations face when trying to comply with non-discrimination laws in the AI context?

A. Non-discrimination laws do not apply to AI systems at all
B. Identifying bias, obtaining data access, and addressing subjectivity in bias detection
C. Non-discrimination laws are uniform across all jurisdictions
D. AI systems are automatically compliant with non-discrimination laws

Correct Answer: B

Explanation:

- **Why B is correct:** Module 7 states: "Non-discrimination laws... challenges: identifying bias, data access, subjectivity." These challenges arise because AI bias can be subtle, training data may not be available for review, and determining what constitutes "fair" can involve subjective judgments.
- **Why A is incorrect:** Module 7 extensively discusses how non-discrimination laws apply to AI in multiple contexts: "Employment (EEOC), credit/lending (FCRA, CFPB, Federal Reserve), housing (FHA), health care (Section 1557)." The module makes clear these laws do apply to AI systems in these domains.
- **Why C is incorrect:** Module 7 presents non-discrimination laws across different countries (U.S. with EEOC, FHA, Section 1557; EU considerations; various national approaches). The module's discussion of global variation in AI regulation suggests these laws are not uniform. Each jurisdiction has its own non-discrimination framework.
- **Why D is incorrect:** If AI systems were automatically compliant, there would be no need for bias audits (NYC Local Law 144), fairness testing, or the extensive discussion of non-discrimination challenges in Module 7. The module explicitly identifies bias as a problem requiring testing and mitigation.

Question 16

Module 7 discusses product liability law in the context of AI. What are the two main types of liability regimes mentioned?

A. Criminal liability and civil liability
B. Fault liability and strict liability
C. Contractual liability and tortious liability
D. Individual liability and corporate liability

Correct Answer: B

Explanation:

- **Why B is correct:** Module 7 states: "Product liability law: Fault liability and strict liability regimes." These are the two main approaches to determining liability when products (potentially including AI) cause harm.

Narahari

- **Why A is incorrect:** While criminal and civil liability are general legal categories, Module 7's discussion of product liability specifically focuses on "fault liability and strict liability regimes" within civil liability frameworks. Criminal liability is not mentioned in the product liability discussion.
- **Why C is incorrect:** Though breach of contract and tort are distinct legal concepts (and Module 7 mentions "breach of warranty"), the module specifically identifies the product liability regimes as "fault liability and strict liability." Contractual vs. tortious liability is a broader categorization than the specific regimes discussed.
- **Why D is incorrect:** Individual vs. corporate liability addresses who is held liable (the type of legal person), not the standard or regime for determining liability. Module 7's discussion focuses on the basis for liability (fault vs. strict liability), not the identity of the defendant.

Question 17

What specific challenge does Module 7 identify regarding the application of product liability law to AI systems?

A. AI systems are always exempt from product liability laws
B. Difficulties in attributing harm due to the opacity and autonomy of AI systems
C. Product liability only applies to physical products, never to software or AI
D. All AI vendors automatically accept full liability for their systems

Correct Answer: B

Explanation:

- **Why B is correct:** Module 7 states: "Product liability law... issues include difficulties in attributing harm (due to opacity/autonomy of AI), complexity of AI systems." The opacity (black box nature) and autonomy of AI systems make it difficult to trace cause-and-effect relationships necessary for liability determinations.
- **Why A is incorrect:** Module 7 discusses how product liability applies to AI, noting that "U.S. and EU are developing AI Liability Directives." If AI were exempt, there would be no need for these developments. The module treats AI liability as an evolving area, not an exemption.
- **Why C is incorrect:** Module 7 discusses product liability in the AI context and mentions "U.S. and EU are developing AI Liability Directives (EU: new proposals for product & AI liability with strict & fault regimes; US: application of strict liability, negligence, breach of warranty depends on state law; undecided if AI is classified as a product)." This shows product liability concepts are being applied to AI/software.
- **Why D is incorrect:** Liability allocation is typically a matter of negotiation and legal determination. Module 7 discusses vendor contract terms and the complexity of attributing harm in AI contexts, suggesting liability is not automatically or uniformly allocated. The module recommends "contractual data licensing and clarity on ownership/warranty/indemnity."

Narahari

Question 18

Module 7 mentions the Colorado AI Act (SB 24-205) as an example of U.S. state legislation. What is a common feature found in most state AI laws discussed in the module?

A. Mandatory federal pre-approval for all AI deployments
B. Right to opt out of automated decision-making or prohibition of algorithmic profiling
C. Complete ban on all forms of artificial intelligence
D. Requirements to use only open-source AI models

Correct Answer: B

Explanation:

- **Why B is correct:** Module 7 states: "U.S.: state and city laws: Most include right to opt out of automated decision-making or prohibit algorithmic profiling." This is identified as a common thread across state-level AI legislation.
- **Why A is incorrect:** The U.S. lacks comprehensive federal AI regulation requiring pre-approval. Module 7 discusses state and city laws as independent regulatory efforts, not as systems requiring federal pre-approval. States are acting in the absence of comprehensive federal legislation.
- **Why C is incorrect:** No state has completely banned all AI. Module 7's discussion of state laws focuses on transparency, opt-out rights, and bias audits—regulatory measures that govern AI use, not outright bans. Laws like Colorado's AI Act and NYC Local Law 144 regulate rather than prohibit AI.
- **Why D is incorrect:** Module 7 does not mention any state law requiring use of open-source AI models. The module discusses requirements for transparency, bias audits, and opt-out rights, but not mandates about open vs. proprietary models. This would be an unusual and impractical regulatory approach.

Question 19

According to Module 7, what is a key practical recommendation for organizations regarding data privacy and AI compliance?

A. Avoid conducting Privacy Impact Assessments as they create unnecessary liability
B. Implement privacy and data protection by default and by design
C. Maximize data collection to ensure AI systems have comprehensive training datasets
D. Exclude privacy authorities from any communication about AI systems

Correct Answer: B

Explanation:

- **Why B is correct:** Module 7's practical recommendations include "Privacy/data protection by default/design" and obligations on data controllers include "Data protection by design & default." This is a core privacy principle applicable to AI systems under GDPR and other privacy frameworks.

Narahari

- **Why A is incorrect:** Module 7 explicitly recommends "PIAs/DPIAs" as a practical step. Privacy Impact Assessments are required under laws like GDPR (Article 35) for high-risk processing and are essential risk management tools, not sources of unnecessary liability. They help identify and mitigate risks proactively.
- **Why C is incorrect:** This directly contradicts Module 7's emphasis on "data minimization" as a key privacy principle and obligation. The module repeatedly emphasizes collecting only what's necessary for specified purposes. Maximizing data collection violates this principle and increases privacy risks.
- **Why D is incorrect:** Module 7 recommends "Communication with privacy authorities" as a practical step. Transparency with regulators is important for compliance, especially when launching novel AI systems or if incidents occur. Excluding authorities would increase regulatory risk.

Question 20

Brazil's approach to AI regulation, as described in Module 7, includes which of the following characteristics?

A. No AI regulation at the federal level, only municipal laws
B. Proposed comprehensive, risk-based AI Bill with human oversight and three risk levels similar to the EU approach
C. Exclusive focus on criminal penalties for AI misuse without any governance framework
D. Complete reliance on the EU AI Act without developing domestic legislation

Correct Answer: B

Explanation:

- **Why B is correct:** Module 7 states: "Brazil: Proposed comprehensive, risk-based AI Bill, human oversight, three risk levels (like EU)." This shows Brazil is developing its own legislation inspired by but not identical to the EU's risk-based approach.
- **Why A is incorrect:** Module 7 specifically mentions a federal-level "proposed comprehensive, risk-based AI Bill," indicating Brazil is pursuing national legislation, not relying solely on municipal laws. This is a proposed federal framework.
- **Why C is incorrect:** Module 7 describes Brazil's approach as "comprehensive, risk-based" with "human oversight" and "three risk levels"—this is a governance framework, not exclusively criminal penalties. Risk-based regulation focuses on preventing harm through governance requirements, not just punishing violations.
- **Why D is incorrect:** While Brazil's approach is "like EU" in using risk levels, Module 7 presents it as Brazil's own "proposed comprehensive, risk-based AI Bill." Brazil is developing domestic legislation inspired by the EU model rather than simply adopting the EU AI Act.

Question 21

Narahari

ISO 42001:2023 provides guidance for AI management systems. According to Module 7, what is a key characteristic of this standard?

A. It only applies to technology companies with over 1,000 employees
B. It provides an integrated approach to AI governance applicable to organizations of any size or industry
C. It replaces all other AI governance frameworks and makes them obsolete
D. It focuses exclusively on technical specifications without addressing governance

Correct Answer: B

Explanation:

- **Why B is correct:** Module 7 states: "ISO 42001:2023 – guidance for AI management systems, integrated approach to AI governance, applies to organizations of any size/industry." This emphasizes the standard's broad applicability and comprehensive nature.
- **Why A is incorrect:** The module explicitly states the standard "applies to organizations of any size/industry," not just large technology companies. ISO standards are designed to be scalable and applicable across different organizational sizes and sectors.
- **Why C is incorrect:** ISO 42001 is one framework among many. Module 7 presents multiple frameworks (NIST AI RMF in earlier modules, Council of Europe HUDERIA, OECD principles, etc.) as complementary tools. Organizations can use ISO 42001 alongside other frameworks; it doesn't replace legal requirements or other governance approaches.
- **Why D is incorrect:** ISO 42001 is specifically described as providing "guidance for AI management systems" with an "integrated approach to AI governance." Management systems and governance are organizational/process-focused, not purely technical. The standard addresses how organizations manage AI holistically.

Question 22

Module 7 discusses Japan's approach to AI governance. What characterizes Japan's regulatory strategy?

A. Strict mandatory regulations with severe criminal penalties
B. Non-binding guidelines and national strategy
C. Complete prohibition of generative AI systems
D. Exclusive adoption of the EU AI Act without modification

Correct Answer: B

Explanation:

- **Why B is correct:** Module 7 states: "Japan: Non-binding guidelines and national strategy." This indicates Japan has taken a guidance-based approach rather than hard regulation, at least at the time the training material was developed.

Narahari

- **Why A is incorrect:** The description "non-binding guidelines" directly contradicts strict mandatory regulations. Non-binding means voluntary or recommendatory, not legally enforceable requirements. Japan's approach, as presented, emphasizes guidance over mandatory compliance.
- **Why C is incorrect:** Module 7 presents Japan as having "non-binding guidelines and national strategy," not prohibitions. A complete prohibition of generative AI would be incompatible with a strategy focused on guidelines and would harm Japan's technological competitiveness.
- **Why D is incorrect:** Module 7 distinguishes between different countries' approaches. Japan's "non-binding guidelines" approach is quite different from the EU AI Act's mandatory, risk-based regulatory framework. Each country is developing approaches suited to their legal and cultural context.

Question 23

According to Module 7, what is the current U.S. legal position on whether AI-generated content (such as images or text created autonomously by AI) can receive copyright protection?

A. AI-generated content receives the same copyright protection as human-created works
B. Copyright law questions regarding AI-generated content have no settled answers globally
C. All AI-generated content is automatically in the public domain with no exceptions
D. Only AI companies can claim copyright on AI-generated content, not users

Correct Answer: B

Explanation:

- **Why B is correct:** Module 7 states: "Intellectual property laws: Copyright can AI outputs be original, is training on copyrighted texts allowed?); no settled answers globally." This acknowledges the legal uncertainty surrounding AI-generated content and copyright.
- **Why A is incorrect:** Current U.S. Copyright Office guidance requires human authorship for copyright protection. Module 7's statement about "no settled answers globally" indicates this is an unsettled area, not one where AI-generated content automatically receives protection equivalent to human creation.
- **Why C is incorrect:** While some jurisdictions and the U.S. Copyright Office have suggested AI-generated content without sufficient human creative input may not be copyrightable, Module 7 characterizes this as having "no settled answers globally." Blanket statements about public domain status oversimplify the complex and evolving legal landscape.
- **Why D is incorrect:** Module 7 does not establish this rule. The module discusses "ownership/warranty/indemnity in AI outputs" as matters requiring "contractual data licensing and clarity," suggesting these are negotiated terms, not fixed legal rules. Copyright ownership in AI contexts depends on multiple factors including human involvement.

Narahari

Question 24

Module 7 discusses cross-border data transfers as an obligation for data controllers using AI. What mechanisms or requirements are mentioned for complying with data transfer restrictions?

A. All cross-border data transfers are completely prohibited under GDPR
B. Organizations must use mechanisms such as Data Protection Agreements (DPAs) or comply with data localization requirements
C. Cross-border transfers are allowed without any restrictions or safeguards
D. Only government agencies are subject to cross-border data transfer restrictions

Correct Answer: B

Explanation:

- **Why B is correct:** Module 7 lists "Cross-border data transfers (with DPAs, localization, etc.)" as an obligation on data controllers. This indicates organizations must use specific mechanisms to legally transfer data across borders, whether DPAs (likely referring to mechanisms like Standard Contractual Clauses) or localization (keeping data within certain jurisdictions).
- **Why A is incorrect:** GDPR does not prohibit all cross-border transfers; it regulates them. GDPR Chapter V provides mechanisms for lawful transfers including adequacy decisions, Standard Contractual Clauses, Binding Corporate Rules, and others. Module 7's mention of "DPAs, localization, etc." indicates transfers are possible with appropriate safeguards.
- **Why C is incorrect:** Module 7 explicitly lists cross-border data transfers as requiring specific mechanisms ("DPAs, localization, etc."), contradicting the idea that transfers are unrestricted. GDPR, LGPD, and other privacy laws impose requirements on international data transfers to ensure data protection continues across borders.
- **Why D is incorrect:** Module 7's discussion of obligations on data controllers applies broadly to organizations processing personal data, not exclusively to government agencies. Private companies using AI that process personal data must also comply with cross-border transfer requirements under laws like GDPR.

Question 25

The FTC's consumer protection authority extends to AI systems. According to Module 7, what specific aspect of AI does the FTC's authority to prohibit "unfair or deceptive acts" apply to?

A. The FTC has no authority over AI systems
B. Privacy and security of algorithms and AI systems
C. Only the physical manufacturing of AI hardware
D. Exclusively international AI systems, not domestic ones

Correct Answer: B

Explanation:

Narahari

- **Why B is correct:** Module 7 states: "Consumer protection laws: FTC (prohibiting unfair/deceptive acts), applies to privacy/security of algorithms/AI." This shows the FTC uses its consumer protection authority to address AI-related privacy and security concerns, and elsewhere mentions "FTC enforcement of deceptive AI marketing claims."
- **Why A is incorrect:** Module 7 explicitly discusses the FTC's authority over AI, stating that "Existing laws and regulatory agencies (FTC, Consumer Financial Protection Bureau) provide regulation for aspects of AI" and that FTC authority "applies to privacy/security of algorithms/AI."
- **Why C is incorrect:** The FTC's consumer protection mandate is much broader than physical manufacturing. Module 7 specifies that FTC authority applies to "privacy/security of algorithms/AI"—software and systems, not just hardware. The FTC addresses unfair and deceptive practices regardless of whether they involve physical products.
- **Why D is incorrect:** The FTC is a U.S. federal agency with jurisdiction over U.S. commerce. Module 7 discusses the FTC in the context of U.S. federal regulation, indicating its authority applies to AI systems in U.S. commerce (domestic and imported), not exclusively international systems.

Question 26

Module 7 discusses data subject rights under GDPR in the AI context. Which of the following rights must organizations respect when deploying AI systems that process personal data?

A. Only the right to access personal data
B. Rights to access, rectification, erasure, restriction of processing, intervention, and understanding of AI outputs
C. No data subject rights apply to AI systems
D. Only the right to receive a copy of the AI model's source code

Correct Answer: B

Explanation:

- **Why B is correct:** Module 7 lists "Data subject rights (access, rectification, erasure, restriction, intervention, understanding of AI outputs)" as obligations on data controllers in the AI context. This comprehensive list reflects GDPR's Chapter III rights as they apply to AI systems.
- **Why A is incorrect:** While the right to access is important, Module 7 identifies multiple rights that apply in the AI context: "access, rectification, erasure, restriction, intervention, understanding of AI outputs." Focusing only on access ignores other critical rights, particularly intervention in automated decision-making.
- **Why C is incorrect:** Module 7 extensively discusses data subject rights in the AI context and lists them as obligations on data controllers. GDPR applies to AI systems that process personal data, so all applicable data subject rights must be respected.

Narahari

- **Why D is incorrect:** GDPR provides rights to meaningful information about AI system logic (transparency), not to the source code itself. Module 7 mentions "understanding of AI outputs" as a right, which relates to explainability and transparency, not access to proprietary technical details like source code.

Question 27

India's approach to AI governance, as described in Module 7, includes which of the following elements?

A. Complete prohibition of all AI development and deployment
B. AI governance principles, proposed Digital India Act, and advisories on consent and labeling for AI
C. Exclusive reliance on the EU AI Act without domestic framework
D. No AI regulation or guidance at any level

Correct Answer: B

Explanation:

- **Why B is correct:** Module 7 states: "India: AI governance principles, proposed Digital India Act, advisories on consent/labelling for AI." This shows India is developing a multi-faceted approach including principles, proposed legislation, and practical guidance.
- **Why A is incorrect:** India is not prohibiting AI; the country has significant AI development and deployment. Module 7's mention of "AI governance principles" and "proposed Digital India Act" indicates India is creating frameworks to govern AI, not ban it. India seeks to balance innovation with governance.
- **Why C is incorrect:** Module 7 presents India as developing its own approach ("AI governance principles, proposed Digital India Act, advisories"), not simply adopting the EU AI Act. While countries may learn from each other, India is creating frameworks suited to its own context.
- **Why D is incorrect:** The module explicitly describes India's governance principles, proposed legislation, and advisories, directly contradicting the idea that India has no AI regulation or guidance. India is actively developing its AI governance framework.

Question 28

According to Module 7, what is one of the key EU proposals for AI liability that would make it easier for victims to seek compensation for AI-related harm?

A. Elimination of all liability for AI vendors
B. Presumption of a causal link and requirements for disclosure of technical documentation
C. Victims can never recover damages for AI-related harm
D. Only criminal prosecution is available, not civil compensation

Correct Answer: B

Explanation:

Narahari

- **Why B is correct:** Module 7 states: "New EU directives will require disclosure of technical documentation and presume a causal link for easier victim compensation in AI-harm cases." This addresses the challenge of proving causation in complex AI systems by shifting the burden through a presumption.
- **Why A is incorrect:** The EU proposals aim to facilitate victim compensation, not eliminate vendor liability. Module 7 discusses "EU: new proposals for product & AI liability with strict & fault regimes," showing the EU is enhancing liability frameworks, not providing exemptions.
- **Why C is incorrect:** The entire purpose of the EU AI Liability Directive proposals is to make it easier for victims to recover damages. Module 7 specifically discusses these proposals as addressing "difficulties in attributing harm" and enabling "easier victim compensation."
- **Why D is incorrect:** Module 7's discussion of liability focuses on civil compensation mechanisms (product liability, fault liability, strict liability), not criminal prosecution. The proposed EU directives address civil liability frameworks to help victims obtain compensation for harm.

Question 29

Module 7 mentions California's AB 2013 as an example of state AI legislation. What does this law address?

A. Complete ban on all generative AI in California
B. Transparency requirements for generative AI training data
C. Mandatory federal licensing for AI developers
D. Prohibition of all automated decision-making systems

Correct Answer: B

Explanation:

- **Why B is correct:** Module 7 identifies "California Generative Artificial Intelligence: Training Data Transparency (AB 2013)" among current state laws. The title clearly indicates the law focuses on transparency regarding training data used for generative AI.
- **Why A is incorrect:** AB 2013 addresses transparency, not prohibition. California is a major center for AI development; a complete ban would be economically and practically infeasible. The law's focus on "Training Data Transparency" shows it's about disclosure requirements, not bans.
- **Why C is incorrect:** State laws cannot create mandatory federal licensing requirements. Additionally, Module 7 describes AB 2013 as a California state law focused on transparency, not a licensing regime. States regulate within their jurisdiction; federal licensing would require federal legislation.
- **Why D is incorrect:** Module 7 specifically identifies AB 2013 as addressing "Generative Artificial Intelligence: Training Data Transparency," not automated decision-making systems broadly. California has other laws addressing automated decision-making, but AB 2013 focuses on generative AI training data.

Narahari

Question 30

According to Module 7, what is a recommended compliance strategy for organizations facing the challenge of reconciling requirements across multiple jurisdictions?

A. Ignore all requirements except those in the organization's home country
B. Create separate, isolated compliance programs for each jurisdiction
C. Leverage existing privacy and data protection impact assessment processes and harmonize to the most stringent requirements
D. Wait for complete global harmonization before implementing any compliance measures

Correct Answer: C

Explanation:

- **Why C is correct:** Module 7 recommends: "Compliance strategies: harmonize with most stringent law(s), leverage existing privacy/data protection impact processes." This efficient approach builds on existing processes while ensuring compliance across jurisdictions by meeting the highest standard.
- **Why A is incorrect:** This approach ignores the extraterritorial reach of laws like GDPR and the EU AI Act, which apply based on where systems are deployed or whose data is processed. Module 7 emphasizes understanding requirements across "all jurisdictions where they operate or whose data they process."
- **Why B is incorrect:** While Module 7 acknowledges that separate programs might seem appropriate initially, it explicitly recommends against this: "To comply with regulations in multiple jurisdictions, develop a compliance strategy based on strictest requirements and harmonize into a unified framework." Separate programs create inefficiency and potential gaps.
- **Why D is incorrect:** Module 7 acknowledges "no one-size-fits-all approach to AI regulations" and advises organizations to "remain alert to regulatory requirements and be prepared to adjust accordingly." Waiting for harmonization (which may never fully occur) would leave organizations non-compliant with current obligations and unable to operate legally.

Scoring Guide

- **27-30 correct (90-100%)**: Excellent! You have strong mastery of Module 7 concepts
- **24-26 correct (80-89%)**: Very Good - You understand most key concepts but review areas of weakness
- **21-23 correct (70-79%)**: Good - Solid foundation but significant review needed in some areas
- **18-20 correct (60-69%)**: Fair - Review the module thoroughly, focusing on practical applications
- **Below 18 (<60%)**: Needs Improvement - Comprehensive review of Module 7 required

Narahari

Key Concepts to Master for Module 7:

1. **Global AI-Specific Regulations**: EU AI Act, China (national + municipal), U.S. (federal guidance + state laws), Canada (AIDA), and other jurisdictions
2. **AI Governance Standards**: ISO 22989 (terminology), ISO 42001 (management systems), Council of Europe HUDERIA
3. **Data Privacy Laws and AI**: GDPR (automated decision-making, special categories, pseudonymization), obligations on controllers, cross-border transfers
4. **Intellectual Property**: Copyright uncertainty, patent inventorship (Thaler v. Vidal), fair use debates
5. **Non-Discrimination Laws**: Employment (EEOC, NYC Local Law 144), credit (FCRA, CFPB), housing (FHA), healthcare (Section 1557)
6. **Consumer Protection**: FTC authority over unfair/deceptive practices in AI
7. **Product Liability**: Fault vs. strict liability regimes, challenges of attributing AI harm, emerging EU directives
8. **Compliance Strategies**: Harmonize to strictest requirements, leverage existing processes, remain agile
9. **Practical Requirements**: Bias audits, transparency/labeling, documentation, human oversight, redress rights
10. **Framework Development**: Consider principles, risk tolerance, jurisdiction, industry, business strategy, implementation ability

---

Study Tips:

- Focus on understanding the **purpose and scope** of different standards (ISO 22989 vs. ISO 42001 vs. HUDERIA)
- Know **specific examples** of legislation (NYC Local Law 144, California AB 2013, Colorado SB 24-205)
- Understand **challenges** in applying existing laws to AI (bias detection, data access, attribution of harm)
- Learn the **practical compliance strategies** (harmonization, leveraging existing processes)
- Review **GDPR-specific provisions** for AI (Article 22, special categories, pseudonymization vs. anonymization)

That completes all 7 modules! You now have a comprehensive set of 210 practice questions (30 per module) covering the entire AIGP certification curriculum. Good luck with your exam preparation!

Narahari

Narahari